

ChemCorp Industries S.A.

MINUTES — TECHNICAL AND COMMERCIAL MEETING

Minutes — Meeting with Solvalor S.A.S. (Harfleur)

Ref: CRC-SOLVALOR-2024-03

Date	2024-02-20	Time	09:30–14:00
Location	Solvalor S.A.S., ZI Nord, Bldg C, Harfleur (site visit included)	Ref.	CRC-SOLVALOR-2024-03
Customer	Solvalor S.A.S.	Type	Technical and commercial meeting

ATTENDEES

Name	Company	Role
Ms Sophie Durand	ChemCorp Industries S.A.	Key Account Manager, Northern France
Mr Antoine Ferretti	ChemCorp Industries S.A.	R&D Project Manager (bio-based solvents)
Mr Marc Tessier	Solvalor S.A.S.	Managing Director
Ms Julie Morin	Solvalor S.A.S.	Purchasing & Supply Manager
Mr Didier Fontaine	Solvalor S.A.S.	Production Manager

BACKGROUND

Customer profile: Formulator of industrial cleaning solvents and degreasers. Revenue approx. €22M. Main purchases from ChemCorp: methanol (600 t/year), isopropanol (250 t/year), ethyl acetate (180 t/year). A customer for 11 years.

Meeting context: Solvalor is going through a strategic transition towards low-VOC (volatile organic compound) products to meet the DECO directive and new REACH regulations on solvents. The meeting focused on adapting the ChemCorp offer.

PROCEEDINGS

1. Update on the VOC regulatory situation

Mr Tessier opened by setting out the context: the European DECO directive (2004/42/EC) and its national revisions impose ever stricter VOC contents in degreaser formulations. Solvalor must reformulate 60% of its catalogue by the end of 2025 to maintain its sector accreditations (aerospace, rail).

Ms Morin detailed the volumes to be substituted: methanol -40% over 3 years (impact: -240 t/year for ChemCorp), and partial replacement of ethyl acetate by esters with a higher boiling point. This represents a revenue risk of approximately €200k/year for ChemCorp if no alternative is offered.

Mr Ferretti presented the ChemCorp solutions: (a) the EcoSolv range: high boiling point / low VOC solvent blends available since Q4 2023, (b) BioSolv-3 under development: bio-based methyl lactate acetate, boiling point 145°C, negligible VOC. Ms Morin asked for samples and data sheets.

2. Evaluation of the EcoSolv-D4 formulation

Mr Fontaine presented the in-house test results for the EcoSolv-D4 formulation received in December 2023 (5 L samples). Tests were run on 3 applications: degreasing rolled steel, cleaning anodised aluminium, and cleaning ABS plastics.

Results: degreasing power, Kavale test 7.2 (target: above 7.0) — met. Drying time 8 min at 20°C (target: under 10 min) — met. Material compatibility: OK on steel and aluminium, traces of whitening on ABS — requires a formulation adjustment. Odour judged acceptable by the operators (5-person panel test).

Mr Fontaine asked for a version with 5% less aromatic co-solvent to avoid the ABS whitening. Mr Ferretti undertook to prepare an EcoSolv-D4-mod formulation within 3 weeks, with 500 mL for re-testing. If validated, a 5 t pilot order is envisaged.

3. Commercial terms and the 2024-2025 contract

Ms Morin asked for an 18-month price commitment on the stable volumes (methanol 360 t, IPA 250 t) despite the transition. Ms Durand accepted a fixed price based on the September 2023 index, with revision possible if the index moves by more than 15% (hardship clause).

New product EcoSolv-D4: proposed price €1,285/t (against methanol at €420/t), justified by the formulated value. Mr Tessier asked for €1,200/t. No compromise was reached in the meeting — Ms Durand will come back with a counter-proposal including a discount on bundled volumes.

Site visit: Ms Durand identified a storage problem: the methanol tanks are undersized for bulk delivery (20 t tanker). Solvalor currently receives material in 200 L drums (a logistics surcharge). Opportunity: a study into installing a 40 t tank by ChemCorp (rental or co-funding) — Mr Vidal to be consulted.

4. Future developments and roadmap

Mr Tessier expressed interest in the possibility of co-branding "Made in France Vert" on the EcoSolv ranges: Ms Durand will check with the legal department whether this is compatible with the existing distribution agreements.

Mr Ferretti presented the BioSolv roadmap: commercial availability of BioSolv-3 is planned for Q1 2025, with possible sector exclusivity for "industrial cleaning" for Solvalor subject to a volume commitment of 100 t/year over 3 years. Mr Tessier was very interested — to be formalised at a future meeting.

Minutes CRC-SOLVALOR-2024-03 — Opportunities & action plan

IDENTIFIED OPPORTUNITIES

Opportunity	Context	Likelihood	Next step
EcoSolv-D4 5 t pilot	After validation of the modified reformulation	High	Mr Ferretti — 3 weeks
40 t methanol tank	Logistics saving for Solvalor	Medium	Mr Vidal — co-funding study
BioSolv-3 sector exclusivity	Commitment of 100 t/year over 3 years	Very high	Meeting in Q4 2024

ACTION PLAN

ChemCorp owner	Action	Due date
Mr Ferretti	Prepare the EcoSolv-D4-mod formulation (500 mL) without aromatic co-solvent	2024-03-12
Ms Durand	Send the EcoSolv-D4 price counter-proposal with a bundled volume discount	2024-02-27
Ms Durand	Check co-branding compatibility with the legal department	2024-02-28
Mr Vidal	Assess the feasibility and cost of installing a 40 t methanol tank at Solvalor	2024-03-15

Next contact: Feedback on the D4-mod reformulation: week of 2024-03-18. Review meeting: April 2024.